



23 June 2023

Circular 19 of 2023

To : Principal Officers of Life Insurance Companies
: Principal Officers of Reinsurance Companies
: Principal Officers of Short-Term Insurance Companies
: Principal Officers of Funeral Assurance Companies
: Chairperson - Life Offices Association (LOA)
: Chairperson - Insurance Council of Zimbabwe (ICZ)
: Chairperson - Zimbabwe Association of Funeral Assurers (ZAFA)
: Actuarial Society of Zimbabwe (ASZ)

IFRS 17 DRY RUN FINANCIALS AS AT 31 DECEMBER 2022

1. The Commission appreciates the effort made by the insurance industry in preparing and submitting IFRS 17 dry run financial statements as at 30 June 2022.
2. The Commission has reviewed most of the submissions and observed the following cross cutting issues:
 - a) Generally, there were no sufficient disclosures in the dry run reports on the extent to which all the key aspects of the standard were considered. In particular,
 - i. Most entities did not disclose whether onerousness tests were conducted for loss making contracts. In some cases, entities assumed that contracts were profitable for some lines of businesses with loss ratios in excess of 100%.
 - ii. Some entities only provided the financial figures without explanatory notes to enable understanding of the financials and evaluation of compliance with the requirements of the standard.
 - iii. There were no clear disclosures on how the expenses were being attributed between insurance and non-insurance expenses,

neither was there any clear rationale why some expenses were considered insurance expenses or non-insurance expenses.

- iv. There was lack of disclosures on the transition method used as well as any other appropriate disclosures.
 - b) Some insurers grouped contracts that are **not exposed to the same risk and that are not managed together**, contradicting the principles of the standard.
3. Given the time that has elapsed since the submission deadline of the initial IFRS17 dry run, the Commission expects that insurers have made significant strides towards IFRS 17 compliance.
 4. In line with previous requests and engagements to measure industry preparedness, the Commission is therefore **requesting all insurers to submit IFRS 17 compliant dry run financial statements as at 31 December 2022 with detailed notes and disclosures**. Additional comments on challenges faced including go live issues will also be appreciated.
 5. The deadline for the submission of the dry run financials is 31 July 2023.
 6. Entities with significant gaps on the dry runs submission as at 30 June 2022, will be engaged on a case-by case basis.
 7. Should you have any queries, please do not hesitate to contact us at: actuarial@ipec.co.zw

Yours sincerely,



Robson Mtangadura

ACTING COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUND